

MAGNOLIA TERRACE

Investment / Sales Offering Memorandum

Raleigh, NC · Multifamily · 48 units · As-of 2026-08-31

Property	Magnolia Terrace
Market	Raleigh, NC
Asset type	Multifamily
Total units	48
Total rentable area	40,800 SF
Physical occupancy (unit / area)	91.67% / 89.90%
Annual in-place rent (certified)	\$974,400
Underwritten NOI (pre-reserves)	\$641,374
Underwritten NCF (post-reserves)	\$626,974
Capitalized value @ 5.75%	\$11,154,323
Photos	Not supplied
Asking price	Not supplied
Market sales / rent comps	Not supplied
Sponsor history	Not supplied

Source-backed analysis. Assumptions remain subject to diligence.

Original fictional CRE Bench evaluation material. No real transaction, no real address, no real sponsor. All figures derived from the provided packet only; no external research.

1. Executive Summary

Magnolia Terrace is a 48-unit multifamily property in Raleigh, NC. The property manager's certified rent roll as of 2026-08-31 controls, showing 44 units in active possession, 1 unit pending (Suite 045, tenant not yet in possession) and 3 vacant units (Suites 046–048). Physical occupancy is **91.67%** on a unit basis and **89.90%** on an area basis. The manager cover note headline of “leased 45 of 48” treats the pending unit as leased; this OM presents possession-based physical occupancy separately.

Under the prescribed underwriting rules, gross potential rent equals all-suite scheduled rent on the certified roll $\times 12 = \mathbf{\$974,400}$ (before the signed Suite 001 amendment). Applying a 5% economic loss, \$350/unit/year of other income, 3% management, and \$300/unit reserves produces **UW NOI of \$641,374** (pre-reserves) and **UW NCF of \$626,974** (post-reserves). At the prescribed 5.75% cap rate, the capitalized value is **\$11,154,323**.

Sizing debt on the greater of the 6.25% note rate or 6.00% floor (note binds), 30-year amortization, and the prescribed constraints (65% LTV, 1.25 $\times$ DSCR, 9% debt yield on NCF), the **maximum loan is \$6,788,545**, with **DSCR the binding constraint**. After the \$4,200,000 existing payoff, 1% origination and \$45,000 closing costs, the **net cash-out is approximately \$2,475,660** (positive). No refinance shortfall.

Snapshot metrics

Metric	Value	Metric	Value
UW EGI	\$942,480	Max loan	\$6,788,545
UW NOI	\$641,374	Binding constraint	DSCR (1.25 $\times$)
UW NCF	\$626,974	Loan-to-value	60.86%
Cap value @ 5.75%	\$11,154,323	Debt yield (NCF)	9.24%
Existing payoff	\$4,200,000	Net cash-out	\$2,475,660

2. Property & Unit / Suite Mix

Manager mapping (per manager-cover.pdf): Group A = Studio, Group B = 1BR, Group C = 2BR. The mix is balanced 16/16/16.

Group	Unit type	Units	Occupied (active)	Area SF / unit	Total area SF
A	Studio	16	16	700	11,200
B	1BR	16	16	820	13,120
C	2BR	16	12	1,030	16,480
Total		48	44		40,800

Occupied area SF = $16 \times 700 + 16 \times 820 + 12 \times 1,030 = 36,680$ SF. Area occupancy = $36,680 / 40,800 = 89.90\%$. Unit occupancy = $44 / 48 = 91.67\%$.

3. Lease & Occupancy Analysis

Roll selection. Two rent rolls are in the packet. The certified roll dated 2026-08-31 controls and is used throughout this OM. The archive roll dated 2026-06-30 shows older, lower rents and is treated as superseded per diligence-status.pdf, which instructs matching documents to their stated dates.

Possession states. 44 active, 1 pending (Suite 045 — 2BR, note: “Pending means not yet in possession”), 3 vacant (Suites 046–048). No temporary free-rent concession applies as of the evaluation date (per lease-001.pdf).

Rollover. Every active lease expires 2029-08-31, roughly 36 months from the as-of date. There is **no near-term rollover** within the 12-month horizon.

Suite 001 rent — resolvable source conflict. Lease-001.pdf executes at \$1,500/month; the signed correspondence amendment (both parties executed 2026-07-20, effective 2026-08-01) increases monthly rent by \$350 to **\$1,850 in place**. The certified rent roll (as of 2026-08-31) still shows \$1,500 for Suite 001, which is the pre-amendment figure. The signed amendment controls per lease-001.pdf's own language. Per the prescribed underwriting rules, gross potential rent is calculated on the certified roll *before* the Suite 001 amendment, so this reconciles: the amendment changes in-place rent only, not the UW GPR base. This is a known, explained source conflict — not left unresolved.

4. Historical vs Underwritten Financials

Historical T12 (2025-09-01 through 2026-08-31) is a cash operating statement. Reported NOI (\$604,128) is before reserves. Underwritten NCF (\$626,974) is after \$14,400 of reserves. These are **different definitions** and are labeled explicitly per diligence-status.pdf.

Line item	Historical T12	Underwritten	Basis
Collections / Gross potential rent	\$876,960	\$974,400	Historical: T12 cash. UW: all-suite scheduled rent × 12 (pre-amendment).
Less: economic loss (5%)	—	(\$48,720)	UW rule; historical collections already reflect actual loss.
Plus: other income (\$350/unit)	(included in T12)	\$16,800	Reimbursement already inside T12 & scheduled rent — do not double-count.
Effective gross income	—	\$942,480	
Real estate taxes	(\$102,312)	(\$102,312)	Prescribed.
Insurance	(\$34,104)	(\$34,104)	Prescribed (distinct from GL policy limit \$2,000,000).
Other recurring opex	(\$136,416)	(\$136,416)	Prescribed.
Management (3% of EGI)	(embedded)	(\$28,274)	UW rule.
Roof replacement	\$0 (capital)	\$0	operating-statement: roof is capital, NOT booked in repairs.
NOI (pre-reserves)	\$604,128	\$641,374	Definitions differ; labels enforced.
Replacement reserves (\$300/unit)	—	(\$14,400)	UW rule.
NCF (post-reserves)	—	\$626,974	

5. Debt Sizing, Sources & Uses

Sized on the greater of the 6.25% note rate or the 6.00% floor (note binds; floor is not the binding constraint). Amortization is 30 years, monthly. The first 24 months are interest-only per the loan terms, but sizing uses the amortizing constant on the greater rate as instructed.

Sizing constraint	Formula	Result
LTV cap	65% × capitalized value (\$11,154,323)	\$7,250,310
DSCR cap	NCF (\$626,974) ÷ (1.25 × 0.07388606)	\$6,788,545
Debt yield cap	NCF (\$626,974) ÷ 9%	\$6,966,373
Maximum loan	MIN of the three	\$6,788,545
Binding		DSCR

Sources & Uses

	Amount
Sources: new senior loan	\$6,788,545
Uses: existing loan payoff	\$4,200,000
Uses: origination fee (1%)	\$67,885
Uses: closing costs	\$45,000
Total uses	\$4,312,885
Net cash-out (Sources – Uses)	\$2,475,660

Resulting LTV 60.86%, DSCR 1.25× (binding), debt yield 9.24%. Net cash-out is positive; there is **no refinance shortfall** under the prescribed constraints.

6. Risks & Missing Diligence

Each risk is assessed independently against packet evidence. Absent means evidence in the packet contradicts the risk. Present means evidence in the packet supports it. Unresolved means the packet is insufficient to decide.

Risk field	Assessment	Basis
risk_pending_in_occupancy	present	Manager cover headline ('45 of 48 leased') counts Suite 045 pending as leased, though cover note explicitly states pending occupants have not taken possession.
risk_near_term_rollover	absent	All active leases expire 2029-08-31 — none within 12 months of the 2026-08-31 as-of date.
risk_missing_insurance	absent	GL policy in force through 2027-06-30 (insurance.pdf); insurance expense captured in T12.
risk_capital_in_opex	absent	Operating statement explicitly shows roof replacement at \$0 in repairs and labels it capital. Historical ledger classification is correct.
risk_unsigned_rent_change	absent	The only rent change in the packet is a signed amendment (both parties executed 2026-07-20). No unsigned proposal is present.
risk_temporary_free_rent	absent	Lease-001.pdf: 'No free-rent concession applies as of the evaluation date.'
risk_sizing_floor_binding	absent	Note rate 6.25% exceeds floor 6.00%. Note binds; floor is not the binding sizing rate.
risk_refinance_shortfall	absent	Max loan \$6,788,545 covers \$4,200,000 payoff + \$112,885 costs with \$2,475,660 remaining.

Missing diligence (routine — not defects)

Per diligence-status.pdf, the following reviews have not been completed and are labeled as absent rather than assumed clean or dirty: legal review, environmental review, property condition assessment, title review. No evidence of contamination, litigation, fraud, or structural failure is present in the packet, and none is asserted.

Not supplied by the seller / packet: photos, asking price, market sales comps, market rent comps, sponsor history and credentials. Their absence is labeled here; none are invented.

7. Source Notes

Filename	Fact captured
manager-cover.pdf	Property = Magnolia Terrace, Raleigh NC, multifamily. Manager mapping A/B/C = Studio/1BR/2BR. Headline occupancy 45 of 48 counts pending as leased.

Filename	Fact captured
rent-roll-certified.xlsx	Controlling roll as of 2026-08-31. 44 active, 1 pending (Suite 045), 3 vacant (046–048). All areas, rents, expirations.
rent-roll-archive.xlsx	Superseded roll as of 2026-06-30 (older rents). Not used for underwriting.
lease-001.pdf	Suite 001 executed base rent \$1,500/month. Signed amendment controls conflicting terms; unsigned proposal does not change agreement. No free-rent concession.
lease-correspondence.pdf	Signed amendment (both parties 2026-07-20; effective 2026-08-01) — Suite 001 monthly rent +\$350 to \$1,850.
operating-statement.pdf	T12 2025-09 → 2026-08. Collections \$876,960; Taxes \$102,312; Insurance \$34,104; Other opex \$136,416; Roof capital \$0; Reported NOI \$604,128.
underwriting-instructions.pdf	All prescribed UW rules — GPR basis, econ loss, other income, opex, reserves, cap, LTV, DSCR, DY, amortization, rates, floor, orig, closing, payoff.
insurance.pdf	GL policy aggregate limit \$2,000,000; effective 2026-07-01 through 2027-06-30. Distinct from insurance expense line.
diligence-status.pdf	Legal/environmental/PCA/title reviews NOT completed — routine pending, no defect asserted. Historical NOI, UW NOI, NCF have different definitions — label each.

Source-backed analysis. Assumptions remain subject to diligence.

CRE Bench — original fictional evaluation material. No real transaction represented.